

Asia Vital Components

New wave of cold plate upgrades with double-sided design + diamond and copper; AVC the biggest winner; assume coverage at OW with PT of NT\$5,200

A new wave of cold-plate upgrades is setting up a multi-year content step-up in AI server liquid cooling, and we see AVC as the clearest winner. We assume coverage at Overweight with a Street-high December 2027 price target of NT\$5,200, based on a 22x 2028E P/E, which implies ~55% upside from the current share price. Our 2026/27/28 estimates are 3%/16%/16% higher than Bloomberg consensus, driven by the four tangible earnings levers we expect: (1) ASP increases on select switch-tray cold plates that lift 2H26 revenue and gross margin via a better mix/yield; (2) double-sided cold-plate designs plus diamond and copper adoption that raises content in Nvidia VR Ultra (VRU) systems from 2Q/2H27; (3) broader ASIC cooling complexity into 2H27/2028 (Google TPU v9, AWS Trn4, etc.), and (4) rising liquid cooling adoption in OSFP (Octal Small Form-factor Pluggable)/ELSFP (External Laser Small Form-Factor Pluggable) optical modules. We expect AVC's share price to continue outperforming with faster earnings upgrades over the next 6-12 months. With this note, we transfer coverage of Asia Vital Components to Megan Hsueh.

- Double-sided cold plate design potentially for Nvidia VRU and Google TPU v9, in addition to AWS Trn3 and AMD MI450; diamond copper to add value.** We believe the double-sided cold plate design is already set to be adopted in Trn3 and MI450 compute trays from 4Q26 onwards and will likely be adopted in VRU compute trays as well from 2Q/2H27 onwards, suggesting incremental cold plates for backside cooling. In addition, we believe VRU cold plates may start adopting the diamond and copper material. Both the additional cold plate units and the new material adoption would increase the cooling content meaningfully for VRU compute trays (US\$3k-3.5k per tray, 50% higher vs the previous generation). TPU v8 also creates decent cooling content, due to its gold-plating design for TPU cold plates as well as additional cold plate units for surrounding ICs. As for TPU v9, we believe a larger die size and higher TDP will increase the likelihood of double-sided cold plate adoption. In our view, AVC has secured major shares in these GPU and ASIC projects with meaningful spec upgrades, making it the main beneficiary of higher content growth than market expectations.
- More GM upside on enhanced mix and yield, along with a successful ASP increase for certain cold plate projects.** We expect AVC to deliver further GM upside into 3Q and 4Q26 by reaching the 34% and 35% level (vs consensus at ~33% and 34%), suggesting solid growth vs 1Q/2Q GM of 30% and 33%, driven by a better product mix (more ASIC contribution) and increasing yield/automation. Also, we believe AVC has successfully raised ASP for some of its cold plate products (mainly for Nvidia/Mellanox switch trays, in our view) to reflect higher costs from materials and labor overtime pay, helping to maintain its margin while benefiting its revenue growth momentum. Coupled with the mass production of VR200 and the liquid-cooled ASICs (Trn3 and TPU v8) in 3Q and 4Q26, we model AVC's revenue to grow 18% QoQ and another 19%, growth rates which are above consensus by 1% and 5%.

Overweight

3017.TW, 3017 TT

Price (29 Sep 26): NT\$3,400.00

▲ Price Target (Dec-27): NT\$5,200.00
Prior (Jun-27): NT\$4,000.00

Technology

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (NT\$)	162.77	186.82	14.8%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	8.28	20.17A	35.29
Q2	10.30	24.37A	41.53
Q3	13.67	28.60	51.68
Q4	17.01	35.12	58.32
FY	49.29	108.25	186.82

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	65	66	51	53	24
Growth	7	4	4	24	35
Momentum	24	16	6	4	31
Quality	1	12	12	22	22
Low Vol	74	80	90	84	75

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 13 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	125.2%	1.2%	47.8%	261.3%
Rel	60.7%	-1.6%	42.0%	176.8%

Company Data

Shares O/S (mn)	393
52-week range (NT\$)	3,600.00-955.05
Market cap (\$ mn)	42,001
Exchange rate	31.78
Free float (%)	74.6%
3M ADV (mn)	4.09
3M ADV (\$ mn)	360.0
Volatility (90 Day)	71
Index	TAIEX
BBG ANR (Buy Hold Sell)	20 1 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	139,639	224,423	352,117	427,716
Adj. EBIT	27,556	62,445	109,252	137,601
Adj. EBITDA	30,802	67,175	115,351	144,926
Adj. net income	19,186	42,490	73,325	92,736
Adj. EPS	49.29	108.25	186.82	236.28
BBG EPS	49.50	104.74	161.19	204.05
Cashflow from operations	36,818	43,397	89,076	103,570
FCFF	29,528	30,222	79,429	93,899
Margins and Growth				
Revenue Growth Y/Y (%)	94.6%	60.7%	56.9%	21.5%
EBIT margin	19.7%	27.8%	31.0%	32.2%
EBIT Growth Y/Y (%)	154.6%	126.6%	75.0%	25.9%
EBITDA margin	22.1%	29.9%	32.8%	33.9%
EBITDA Growth Y/Y (%)	131.8%	118.1%	71.7%	25.6%
Net margin	13.7%	18.9%	20.8%	21.7%
Adj. EPS growth	131.9%	119.6%	72.6%	26.5%
Ratios				
Adj. tax rate	27.2%	27.2%	28.0%	28.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	45.7%	65.6%	68.9%	56.3%
Valuation				
FCFF yield	2.2%	2.3%	6.0%	7.0%
Dividend yield	0.3%	0.6%	1.4%	2.4%
EV/Revenue	4.3	4.4	2.7	2.1
EV/EBITDA	19.3	14.7	8.1	6.1
Adj. P/E	69.0	31.4	18.2	14.4

Summary Investment Thesis and Valuation

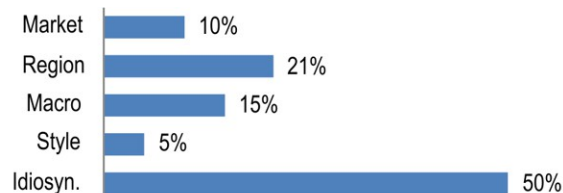
Investment Thesis

We are OW on AVC for its strong earnings growth potential, which we think is supported by the content increase in AI servers. We expect AVC to see increasing upside from more liquid cooling opportunities, with much higher ASP and margin, while its competitive advantages vs. peers could give it further market share gains as the industry's structural trends develop.

Valuation

Our Dec-27 PT of NT\$5,200 is based on 22x 2028E P/E. The target multiple is at the mid to high end of AVC's historical average trading range of 15-25x P/E since the start of the AI server boom, as we expect an earnings upgrade cycle (based on our above-consensus estimates in 2027-28) to support this valuation.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.19	0.32
Region: Taiwan	0.70	0.51
Macro:		
Citi Economic Surprise - EM	0.17	0.27
JPM China A-shares Sentiment	0.25	0.24
US 10 Year Yield	0.26	0.23
Quant Styles:		
Quality	0.25	0.24
Momentum	0.03	0.08
LowVol	0.13	0.06

- **Undemanding valuation as the key winner in the stronger-than-expected cold plate upgrades.** AVC is now trading at ~20x 12-month forward P/E, largely in line with its past trading average since the start of the AI server boom. We apply a 22x 2028E P/E valuation to reflect a multi-quarter earnings upgrade path tied to both Nvidia VRU and multiple ASIC-driven content expansions. The upside case strengthens if TPU v9 adopts double-sided designs and Trn4 adds incremental cold plates for NPO/CPO. Key investment risks include slower-than-expected spec upgrades, market share loss from the current leading position (~50% in each AI project), and pricing pressure.

Earnings estimates

JPM's above-consensus forecasts

Our 2026/27/28 EPS forecasts are 3%/16%/16% above Bloomberg consensus, reflecting (1) **ASP increases** of select switch-tray cold plates, (2) **double-sided cold-plate designs** plus **'diamond copper'** adoption potentially in Nvidia VRU, (3) broader **ASIC cooling complexity** into **2H27/2028**, and (4) structural margin expansion.

Table 1: J.P. Morgan estimates vs Bloomberg consensus

(NT\$M)	JPMe					Bloomberg					Diff				
	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E
Sales	57,770	68,493	224,423	352,117	427,716	57,349	65,404	221,582	314,967	393,577	1%	5%	1%	12%	9%
Gross profit	19,653	23,949	74,197	127,221	158,179	19,117	22,207	71,458	107,810	133,234	3%	8%	4%	18%	19%
GM	34.0%	35.0%	33.1%	36.1%	37.0%	33.3%	34.0%	32.2%	34.2%	33.9%	68 bps	101 bps	81 bps	190 bps	313 bps
Operating profit	16,562	20,387	62,445	109,252	137,601	16,072	18,619	59,800	91,980	116,022	3%	9%	4%	19%	19%
OPM	28.7%	29.8%	27.8%	31.0%	32.2%	28.0%	28.5%	27.0%	29.2%	29.5%	64 bps	130 bps	84 bps	182 bps	269 bps
Net Income	11,225	13,783	42,490	73,325	92,736	11,135	12,802	41,232	63,520	80,340	1%	8%	3%	15%	15%
EPS (NT\$)	28.6	35.1	108.3	186.8	236.3	28.1	32.4	104.7	161.2	204.1	2%	8%	3%	16%	16%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

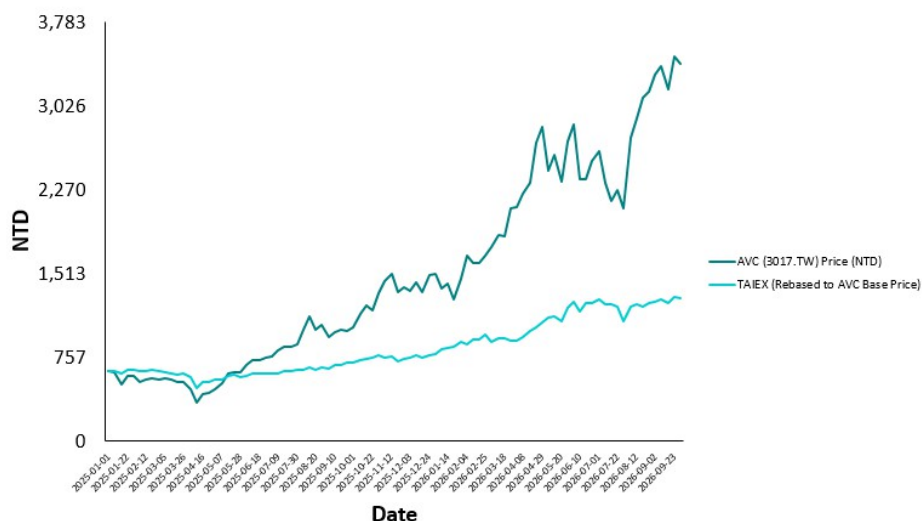
Key risks to ourestimates, price target and rating

- **Slower-than-expected spec upgrades in future AI systems:** We believe AI GPU and ASIC customers' new product generation launches will be the main driver of continued cooling spec upgrades. However, if the launch timing of next-gen products is delayed or spec improvement is limited, AVC's growth estimates may have to be slightly moderated.
- **Market share loss:** We regard share loss as a milder risk, as the entry barrier for cold plate modules has become higher, especially because the AI server migration cadence remains at the short 1-2 year cycle. Coupled with customers' preference for a limited numbers of suppliers (usually 2-3), we do not think there will be a major market share shift.
- **ASP/margin pressure:** As Nvidia has put cold plates into its "Group A" components, meaning standardization, from the VR200 generation, investors may be worried about the potential ASP and GM pressure, given less differentiation among peers. However, we believe AVC's 2Q26 and potentially 2H26 GM may continue to beat investor expectations with stronger expansion, thanks to its continued yield enhancement, better-than-expected cooling content growth with its stable market share and rising ASIC contribution (with higher content and margin vs GPU projects).

Performance and Valuation

Share price performance

Figure 1: AVC's share price vs the Taiex



Source: Bloomberg Finance L.P.

- In 2025, AVC's share price underperformed in 1H given market concerns about cold plate ASP/margin decline when Nvidia added cold plates to its Group A components for VR200 (implying standardization). However, the share price outperformed in 2H given the confirmation of a total content value increase of "tray level" thanks to the fanless design of VR200 with an additional number of cold plates being adopted per tray.
- In 1H26, AVC's share price continued to outperform the Taiex with new TAM expansion opportunities from both ASICs and Nvidia's new rack solutions, such as LPX rack, Vera CPU rack and CPO-related solutions.
- In 3Q26, AVC's share price corrected meaningfully (even more than other AI sub-sectors) in July, given the overall market pullback from de-leveraging and incrementally from the delay of VR200. However, it has rebounded rapidly since August thanks to 1) a reported GM/EPS numbers beat, 2) a smoother VR200 ramp in late 3Q26, and 3) the higher-content ASIC projects being expected to enter mass production in 4Q26 to drive further revenue and margin expansion.

Valuation

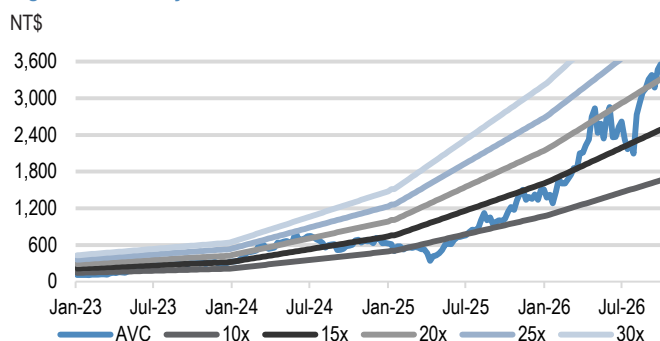
We derive our Dec-27 price target of NT\$5,200 based on a 22x 2028E P/E. The target multiple is at the mid to high end of AVC's historical average trading range of 15-25x P/E since the start of the AI server boom, as we expect an earnings upgrade cycle (based on our above-consensus estimates in 2027-28) to support this valuation.

Table 2: AVC's trading multiple (from January 2023 to date, when the AI server boom started)

x	12M trailing P/E	12M fwd P/E	12M trailing P/B	12M fwd P/B
Standard deviation	8.5	4.6	4.3	2.5
Max	47.1	24.7	19.5	11.7
Minimum	8.8	5.3	2.1	1.5
Median	26.8	14.3	7.4	5.2
Average	26.5	14.3	8.2	5.5

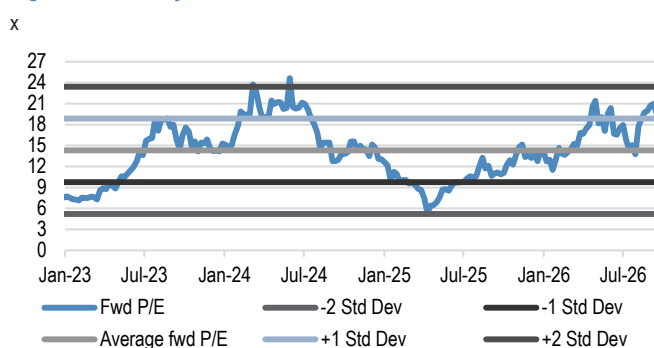
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: AVC's 1yr forward P/E



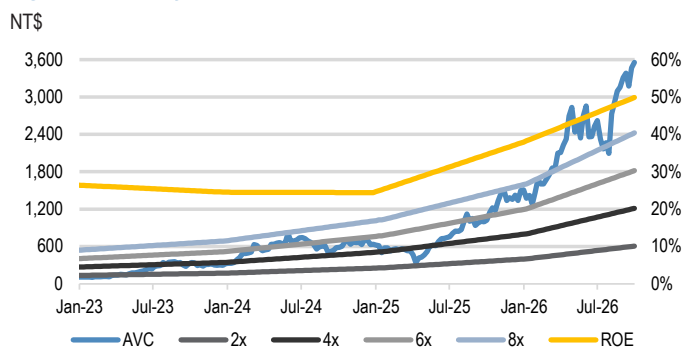
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: AVC's 1yr forward P/E vs mean



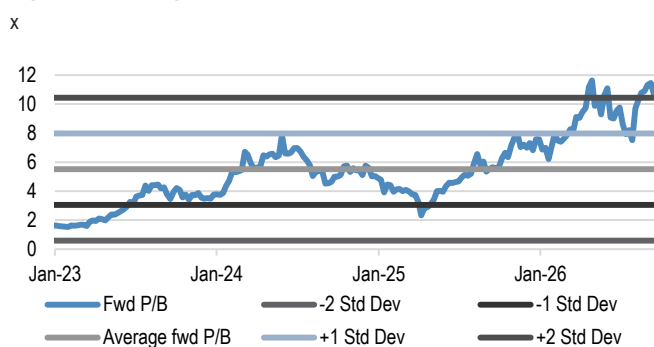
Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 4: AVC's 1yr forward P/B



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 5: AVC's 1yr forward P/B vs mean



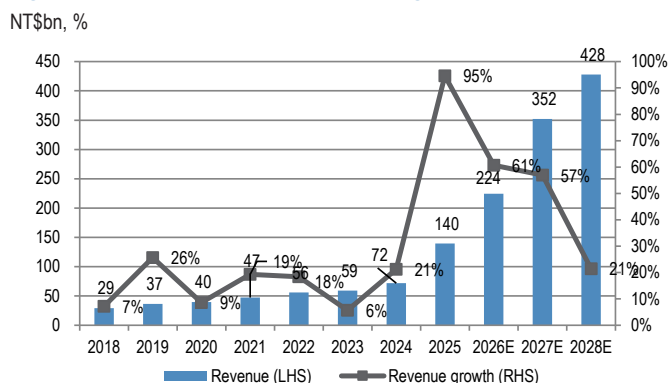
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Financial Analysis

We forecast AVC's revenue to increase 61%/57%/22% YoY in 2026/27/28, supported by the stronger-than-expected cold plate spec upgrades and content growth in both GPU and ASIC systems, with the company's continued leading share in these high-spec projects.

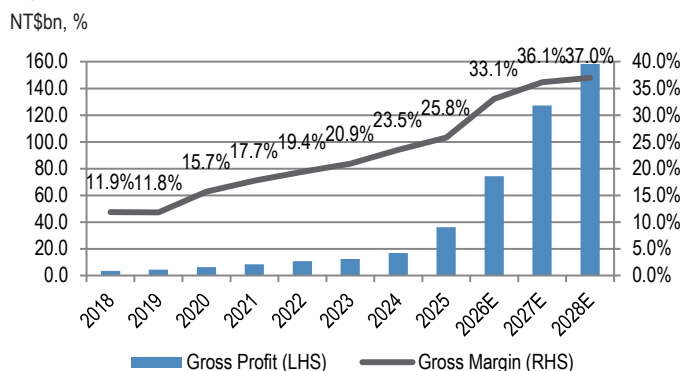
AVC's 2Q26 gross margin expanded to 33% thanks to continued yield enhancement of liquid cooling products. We believe the company's margin will continue to surprise to the upside in 2H26-2028, driven by the near-term favorable product mix from VR200 and multiple new ASIC project ramp, along with longer-term continued spec upgrades, which support our gross margin forecast of 33%/36%/37% in 2026/27/28. The stronger GM growth also serves as the key driver of our bottom-line EPS growth forecasts of 120%/73%/27% in 2026/27/28.

Figure 6: AVC's revenue and revenue YoY growth



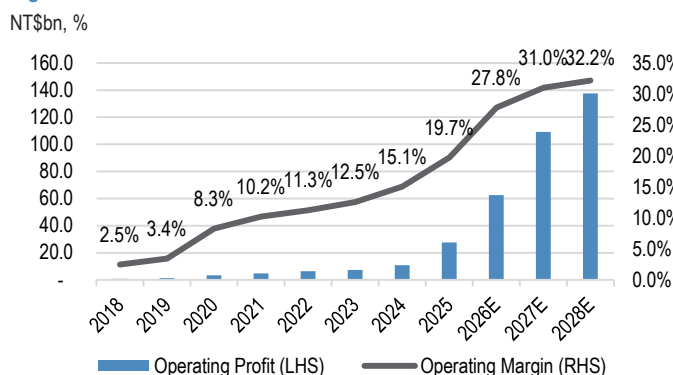
Source: Company data, J.P. Morgan estimates.

Figure 7: AVC's GP and GPM



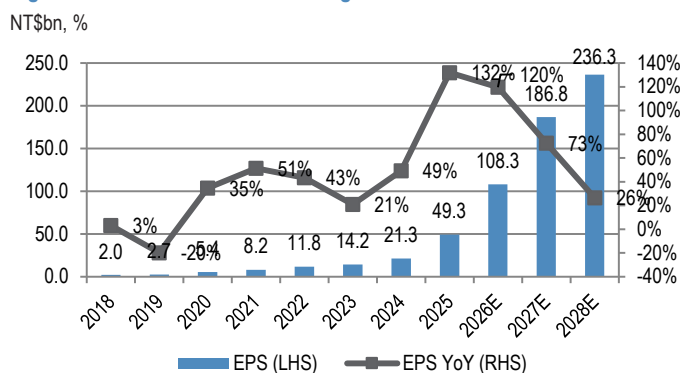
Source: Company data, J.P. Morgan estimates.

Figure 8: AVC's OP and OPM



Source: Company data, J.P. Morgan estimates.

Figure 9: AVC's EPS and EPS YoY growth



Source: Company data, J.P. Morgan estimates.

Table 3: Income statement

	2024				2025				2026E				2027E				2028E				2024	2025	2026E	2027E	2028E
(NT\$ in Mn, year-end December)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2024	2025	2026E	2027E	2028E
Revenue	15,309	16,484	19,065	20,904	23,333	29,595	38,937	47,775	49,038	49,121	57,770	68,493	69,271	79,928	96,381	106,537	92,408	101,446	111,776	122,085	71,761	139,639	224,423	352,117	427,716
Depreciation	537	572	609	666	748	727	815	896	996	1,120	1,226	1,293	1,381	1,462	1,528	1,604	1,682	1,757	1,831	1,906	2,384	3,186	4,634	5,974	7,176
COGS	11,936	12,690	14,584	15,680	17,305	22,370	28,765	35,165	34,441	33,122	38,118	44,545	44,924	51,477	61,314	67,182	58,809	63,982	70,317	76,430	54,891	103,605	150,225	224,896	269,537
Gross profit	3,372	3,794	4,480	5,224	6,028	7,224	10,172	12,610	14,597	15,999	19,653	23,949	24,348	28,451	35,067	39,355	33,599	37,464	41,460	45,656	16,870	36,034	74,197	127,221	158,179
Operating expense	1,437	1,367	1,372	1,871	1,667	2,130	2,086	2,595	2,578	2,521	3,091	3,562	3,671	4,156	4,867	5,274	4,620	4,971	5,309	5,677	6,048	8,478	11,752	17,968	20,578
Operating income	1,935	2,427	3,108	3,353	4,361	5,095	8,085	10,015	12,019	13,478	16,562	20,387	20,676	24,294	30,200	34,082	28,979	32,493	36,150	39,979	10,823	27,556	62,445	109,252	137,601
Net Interest Income	-6	49	18	53	-31	34	-15	103	-10	255	70	36	-13	25	66	73	135	178	234	219	114	91	351	152	766
Net Other Income	401	460	302	253	291	768	146	-66	-30	202	0	0	0	0	0	0	0	0	0	0	1,415	1,140	172	0	0
Non-op gain (loss)	395	508	320	306	259	802	132	38	-40	457	70	36	-13	25	66	73	135	178	234	219	1,529	1,231	523	152	766
Pre-tax profit	2,330	2,935	3,428	3,659	4,620	5,896	8,217	10,053	11,979	13,935	16,632	20,423	20,664	24,319	30,266	34,155	29,113	32,671	36,385	40,198	12,352	28,786	62,969	109,404	138,367
Tax expense (credit)	579	775	826	978	1,110	1,624	2,307	2,794	3,304	3,657	4,574	5,616	5,786	6,809	8,475	9,563	8,152	9,148	10,188	11,255	3,159	7,836	17,151	30,633	38,743
Net profit reported	1,564	1,947	2,324	2,338	3,214	3,997	5,339	6,636	7,916	9,567	11,225	13,783	13,849	16,299	20,285	22,891	19,512	21,897	24,386	26,941	8,172	19,186	42,490	73,325	92,736
EPS (NT\$)	4.1	5.1	6.0	6.1	8.3	10.3	13.7	17.0	20.2	24.4	28.6	35.1	35.3	41.5	51.7	58.3	49.7	55.8	62.1	68.6	21.3	49.3	108.3	186.8	236.3
Margins (%)																									
Gross Margin	22.0	23.0	23.5	25.0	25.8	24.4	26.1	26.4	29.8	32.6	34.0	35.0	35.1	35.6	36.4	36.9	36.4	36.9	37.1	37.4	23.5	25.8	33.1	36.1	37.0
- Opex ratio	9.4	8.3	7.2	8.9	7.1	7.2	5.4	5.4	5.3	5.1	5.4	5.2	5.3	5.2	5.1	5.0	5.0	4.9	4.8	4.7	8.4	6.1	5.2	5.1	4.8
Operating Margin	12.6	14.7	16.3	16.0	18.7	17.2	20.8	21.0	24.5	27.4	28.7	29.8	29.8	30.4	31.3	32.0	31.4	32.0	32.3	32.7	15.1	19.7	27.8	31.0	32.2
EBITDA Margin	16.1	18.2	19.5	19.2	21.9	19.7	22.9	22.8	26.5	29.7	30.8	31.7	31.8	32.2	32.9	33.5	33.2	33.8	34.0	34.3	18.4	22.0	29.9	32.7	33.8
Net Margin	10.2	11.8	12.2	11.2	13.8	13.5	13.7	13.9	16.1	19.5	19.4	20.1	20.0	20.4	21.0	21.5	21.1	21.6	21.8	22.1	11.4	13.7	18.9	20.8	21.7
Sequential Growth (%)																									
Revenue	-8.4	7.7	15.7	9.6	11.6	26.8	31.6	22.7	2.6	0.2	17.6	18.6	1.1	15.4	20.6	10.5	-13.3	9.8	10.2	9.2					
Gross Profit	-7.5	12.5	18.1	16.6	15.4	19.8	40.8	24.0	15.8	9.6	22.8	21.9	1.7	16.9	23.3	12.2	-14.6	11.5	10.7	10.1					
EBIT	-19.9	25.4	28.1	7.9	30.1	16.8	58.7	23.9	20.0	12.1	22.9	23.1	1.4	17.5	24.3	12.9	-15.0	12.1	11.3	10.6					
EPS	-8.2	24.5	18.5	0.8	36.5	24.4	32.8	24.4	18.6	20.8	17.4	22.8	0.5	17.7	24.5	12.8	-14.8	12.2	11.4	10.5					
YoY Growth (%)																									
Revenue	29.4	10.8	20.9	25.0	52.4	79.5	104.2	128.5	110.2	66.0	48.4	43.4	41.3	62.7	66.8	55.5	33.4	26.9	16.0	14.6	21.2	94.6	60.7	56.9	21.5
Gross Profit	44.4	26.9	31.2	43.3	78.7	90.4	127.0	141.4	142.2	121.5	93.2	89.9	66.8	77.8	78.4	64.3	38.0	31.7	18.2	16.0	36.2	113.6	105.9	71.5	24.3
EBIT	43.1	56.8	47.6	38.8	125.4	109.9	160.2	198.7	175.6	164.5	104.8	103.6	72.0	80.3	82.3	67.2	40.2	33.7	19.7	17.3	45.8	154.6	126.6	75.0	25.9
EPS	43.2	59.8	61.8	36.5	102.9	102.7	127.1	180.3	143.6	136.6	109.2	106.5	75.0	70.4	80.7	66.1	40.9	34.3	20.2	17.7	49.3	131.9	119.6	72.6	26.5
Sales mix (%)																									
Thermal Solutions	51%	55%	58%	52%	59%	60%	63%	51%	64%	62%	63%	66%	66%	68%	72%	74%	70%	70%	72%	73%	54%	57%	64%	70%	71%
Consumer	15%	16%	14%	12%	13%	12%	15%	11%	9%	8%	9%	8%	7%	6%	5%	5%	5%	4%	4%	4%	14%	13%	8%	6%	5%
Telecom	14%	13%	13%	10%	11%	9%	6%	4%	6%	6%	5%	3%	4%	4%	3%	2%	3%	2%	2%	2%	12%	7%	5%	3%	2%
Server	20%	23%	27%	27%	32%	36%	39%	34%	47%	46%	48%	53%	53%	57%	63%	66%	61%	63%	64%	66%	25%	35%	49%	61%	64%
Others	3%	3%	4%	3%	3%	2%	2%	2%	1%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	3%	2%	1%	1%	1%
Chassis	13%	13%	12%	15%	16%	17%	17%	21%	20%	21%	21%	19%	19%	17%	15%	14%	16%	15%	14%	13%	13%	18%	20%	16%	15%
PC/AIO	2%	2%	2%	2%	2%	2%	2%	1%	1%	1%	1%	1%	1%	1%	0%	0%	0%	0%	0%	0%	2%	2%	1%	0%	0%
Server	11%	11%	10%	13%	13%	15%	15%	20%	19%	20%	21%	18%	18%	16%	14%	13%	15%	15%	14%	13%	11%	16%	19%	15%	14%
System Assembly	25%	22%	19%	20%	16%	15%	11%	20%	8%	9%	8%	7%	7%	6%	5%	5%	5%	5%	4%	4%	21%	16%	8%	5%	4%
Fositek (Hinge)	11%	10%	10%	13%	10%	9%	9%	8%	9%	8%	8%	8%	9%	9%	8%	8%	9%	10%	10%	9%	11%	9%	8%	9%	10%

Source: Company data, J.P. Morgan estimates.

Table 4: Balance sheet

	2024				2025				2026E				2027E				2028E				2024	2025	2026E	2027E	2028E
(NT\$ in million, year-end December)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE					
Cash and Cash Equivalents	31,032	31,482	31,992	31,999	38,456	36,110	47,219	60,442	69,282	78,402	69,137	84,458	99,354	115,888	118,779	143,277	160,587	183,185	177,017	205,278	31,999	60,442	84,458	143,277	205,278
Account Receivables	5,460	4,384	6,274	7,767	4,909	7,770	8,735	12,133	11,406	9,488	12,662	15,012	15,183	17,518	21,125	23,351	20,254	22,235	24,499	26,758	7,767	12,133	15,012	23,351	26,758
Inventory	18,524	21,064	25,206	33,397	39,585	42,305	49,040	49,572	50,968	57,874	83,546	97,632	98,463	112,826	134,387	147,248	128,897	140,234	154,118	167,517	33,397	49,572	97,632	147,248	167,517
Total Other Current Assets	2,077	2,035	2,467	2,929	3,267	3,533	4,320	4,029	4,216	4,106	5,197	5,883	5,978	6,904	8,395	9,207	7,998	8,786	9,687	10,568	2,929	4,029	5,883	9,207	10,568
Total Current Assets	57,093	58,964	65,940	76,092	86,217	89,718	109,314	126,176	135,872	149,870	170,542	202,985	218,977	253,137	282,685	323,082	317,735	354,439	365,322	410,121	76,092	126,176	202,985	323,082	410,121
Gross Fixed Assets	18,335	18,475	19,943	20,405	22,230	21,377	25,157	27,232	29,149	33,089	35,212	37,335	39,458	41,581	43,704	45,827	47,951	50,074	52,197	54,320	20,405	27,232	37,335	45,827	54,320
Accumulated Depreciation	8,321	8,394	8,960	9,143	9,812	9,350	10,314	10,888	11,935	12,985	14,211	15,504	16,884	18,347	19,875	21,478	23,160	24,917	26,748	28,655	9,143	10,888	15,504	21,478	28,655
Construction in Progress	1,703	1,900	2,142	2,543	2,290	2,184	1,564	1,505	3,730	3,715	4,206	4,464	4,721	4,978	5,236	5,493	5,751	6,008	6,266	6,523	2,543	1,505	4,464	5,493	6,523
Acquisition/(Divestitures)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net Fixed Assets	11,716	11,980	13,125	13,805	14,708	14,211	16,407	17,849	20,943	23,818	25,207	26,295	27,295	28,213	29,066	29,843	30,541	31,165	31,715	32,189	13,805	17,849	26,295	29,843	32,189
Other Long Term Assets	5,265	5,726	7,616	8,576	9,530	9,522	12,510	15,125	18,228	20,018	16,470	17,460	18,044	17,998	17,493	17,749	17,821	17,765	17,707	17,761	8,576	15,125	17,460	17,749	17,761
Long Term Investments and Associates	713	1,329	1,420	1,432	1,370	1,191	1,022	986	951	871	871	871	871	871	871	871	871	871	871	871	1,432	986	871	871	871
Total Long Term Assets	17,694	19,035	22,160	23,813	25,608	24,924	29,940	33,960	40,122	44,707	42,548	44,626	46,210	47,082	47,430	48,463	49,234	49,801	50,293	50,821	23,813	33,960	44,626	48,463	50,821
Total Assets	74,786	77,999	88,100	99,906	111,825	114,643	139,254	160,137	175,993	194,577	213,090	247,611	265,187	300,219	330,115	371,544	366,969	404,241	415,615	460,941	99,906	160,137	247,611	371,544	460,941
ST Debt and Current Portion of LT Debt	6,781	6,175	12,063	13,130	13,876	13,323	16,128	16,311	17,608	19,007	19,007	19,007	19,007	19,007	19,007	19,007	19,007	19,007	19,007	19,007	13,130	16,311	19,007	19,007	19,007
Accounts Payable	19,209	19,585	24,633	28,884	32,663	33,497	45,081	48,109	48,857	53,027	62,660	73,224	73,847	84,620	100,790	110,436	96,673	105,175	115,589	125,638	28,884	48,109	73,224	110,436	125,638
Other Current Liabilities	14,739	14,806	13,206	16,275	23,856	25,807	26,293	33,075	46,233	46,843	45,899	56,931	60,618	68,709	80,860	90,649	79,095	86,359	94,922	103,994	16,275	33,075	56,931	90,649	103,994
Total Current Liabilities	40,728	40,567	49,902	58,288	70,395	72,627	87,502	97,495	112,699	118,878	127,566	149,162	153,472	172,336	200,658	220,092	194,775	210,541	229,518	248,639	58,288	97,495	149,162	220,092	248,639
Long Term Debt	5,165	5,817	2,546	3,349	3,324	3,547	5,558	6,949	7,190	7,735	7,735	7,735	7,735	7,735	7,735	7,735	7,735	7,735	7,735	7,735	3,349	6,949	7,735	7,735	7,735
Other Long Term Liabilities	3,666	3,745	4,733	4,796	4,753	4,397	4,603	5,128	4,789	5,839	12,676	11,817	11,233	11,102	10,631	9,735	10,963	10,572	10,058	9,322	4,796	5,128	11,817	9,735	9,322
Total Long Term Liabilities	8,831	9,563	7,278	8,145	8,077	7,944	10,160	12,076	11,979	13,574	20,410	19,552	18,968	18,837	18,366	17,469	18,698	18,307	17,793	17,057	8,145	12,076	19,552	17,469	17,057
Total Liabilities	49,559	50,130	57,181	66,433	78,472	80,571	97,662	109,572	124,678	132,452	147,976	168,714	172,440	191,173	219,024	237,561	213,473	228,848	247,311	265,696	66,433	109,572	168,714	237,561	265,696
Share Capital	3,833	3,833	4,044	3,883	3,900	3,882	4,067	3,983	3,941	3,932	3,932	3,932	3,932	3,932	3,932	3,932	3,932	3,932	3,932	3,932	3,883	3,983	3,932	3,932	3,932
Share Premium	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Reserves	8,853	10,411	10,926	11,290	10,652	7,368	9,365	11,774	11,710	14,918	14,918	14,918	14,918	14,918	14,918	14,918	14,918	14,918	14,918	14,918	11,290	11,774	14,918	14,918	14,918
Retained Earnings	12,540	13,626	15,949	18,300	18,800	22,821	28,161	34,808	35,664	43,276	46,265	60,048	73,897	90,196	92,242	115,134	134,646	156,543	149,454	176,395	18,300	34,808	60,048	115,134	176,395
Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Equity	25,227	27,869	30,919	33,473	33,353	34,072	41,592	50,565	51,315	62,126	65,115	78,897	92,747	109,046	111,092	133,983	153,496	175,392	168,304	195,245	33,473	50,565	78,897	133,983	195,245
BVPS	66	73	80	87	86	88	107	130	131	158	166	201	236	278	283	341	391	447	429	497	87	130	201	341	497

Source: Company data, J.P. Morgan estimates.

Table 5: Cash flow statement

Cash flow statement													
NT\$ in billions, year-end Dec	FY16A	FY17A	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Net Income	0.9	0.9	0.7	1.0	1.9	2.9	4.2	5.3	8.2	19.2	42.5	73.3	92.7
Depr. & Amortisation	0.7	0.6	0.8	1.2	1.2	1.6	1.7	2.0	2.5	3.2	4.7	6.1	7.3
Change in working capital	0.0	0.0	-0.4	0.4	1.3	-2.3	3.1	2.4	-2.4	14.4	-3.8	9.7	3.5
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash flow from operations	1.5	1.5	1.1	2.5	4.5	2.2	9.0	9.6	8.3	36.8	43.4	89.1	103.6
Capex	-1.2	-0.6	-1.4	-1.4	-2.2	-1.5	-3.7	-3.6	-4.9	-7.3	-13.2	-9.6	-9.7
Disposal/ (purchase)	0.0	-0.5	0.1	-0.5	-0.8	-0.8	-0.8	-0.1	-4.6	-6.1	-2.2	-0.3	0.0
Cash flow from investing	-1.1	-1.2	-1.3	-1.9	-3.1	-2.3	-4.5	-3.7	-9.5	-13.4	-15.4	-9.9	-9.7
Free cash flow	0.3	0.9	-0.2	1.1	2.2	0.7	5.3	6.0	3.3	29.5	30.2	79.4	93.9
Equity raised/ (repaid)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt raised/ (repaid)	0.3	-0.1	1.0	1.2	0.6	1.8	4.1	-1.6	3.5	6.8	3.5	0.0	0.0
Other	-0.7	-0.2	0.0	-0.1	1.7	1.2	0.9	5.1	3.3	2.1	0.8	-2.1	-0.4
Dividends paid	-0.4	-0.4	-0.5	-0.4	-0.5	-1.0	-1.5	-1.9	-2.7	-3.9	-8.2	-18.2	-31.5
Cash flow from financing	-0.8	-0.8	0.5	0.8	1.8	2.0	3.5	1.5	4.2	5.0	-4.0	-20.3	-31.9
Net change in cash	-0.4	-0.4	0.4	1.3	3.2	2.0	8.0	7.5	2.9	28.4	24.0	58.8	62.0
Beginning cash	7.7	7.3	6.8	7.2	8.5	11.7	13.7	21.6	29.1	32.0	60.4	84.5	143.3
Ending cash	7.3	6.9	7.3	8.5	11.7	13.7	21.6	29.1	32.0	60.4	84.5	143.3	205.3

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Asia Vital Components *(Overweight; Price Target: NT\$5,200.00)*

Investment Thesis

We are OW on AVC for its strong earnings growth potential, which we think is supported by the content increase in AI servers. We expect AVC to see increasing upside from more liquid cooling opportunities, with much higher ASP and margin, while its competitive advantages vs. peers could give it further market share gains as the industry's structural trends develop.

Valuation

Our Dec-27 PT of NT\$5,200 is based on 22x 2028E P/E. The target multiple is at the mid to high end of AVC's historical average trading range of 15-25x P/E since the start of the AI server boom, as we expect an earnings upgrade cycle (based on our above-consensus estimates in 2027-28) to support this valuation.

Risks to Rating and Price Target

Key downside risks are: (1) slower-than-expected spec upgrades to future AI systems; (2) market share losses; and (3) ASP/margin pressure from the competition.

Asia Vital Components: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	71,761	139,639	224,423	352,117	427,716	Cash flow from operating activities	8,250	36,818	43,397	89,076	103,570
COGS	(54,891)	(103,605)	(150,225)	(224,896)	(269,537)	o/w Depreciation & amortization	2,463	3,246	4,729	6,099	7,325
Gross profit	16,870	36,034	74,197	127,221	158,179	o/w Changes in working capital	(2,385)	14,385	(3,823)	9,653	3,509
SG&A	(1,947)	(3,086)	(4,318)	(6,469)	(7,353)	Cash flow from investing activities	(9,501)	(13,393)	(15,395)	(9,936)	(9,683)
Adj. EBITDA	13,285	30,802	67,175	115,351	144,926	o/w Capital expenditure	(4,918)	(7,290)	(13,175)	(9,647)	(9,671)
D&A	(2,463)	(3,246)	(4,729)	(6,099)	(7,325)	as % of sales	6.9%	5.2%	5.9%	2.7%	2.3%
Adj. EBIT	10,823	27,556	62,445	109,252	137,601	Cash flow from financing activities	4,158	5,018	(3,986)	(20,322)	(31,887)
Net Interest	114	91	351	152	766	o/w Dividends paid	(2,683)	(3,877)	(8,236)	(18,239)	(31,475)
Adj. PBT	12,352	28,786	62,969	109,404	138,367	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(3,159)	(7,836)	(17,151)	(30,633)	(38,743)	o/w Net debt issued/(repaid)	3,519	6,781	3,482	0	0
Minority Interest	-	-	-	-	-	Net change in cash	2,908	28,443	24,016	58,819	62,001
Adj. Net Income	8,172	19,186	42,490	73,325	92,736	Adj. Free cash flow to firm	3,333	29,528	30,222	79,429	93,899
Reported EPS	21.26	49.29	108.25	186.82	236.28	y/y Growth	(44.8%)	786.0%	2.4%	162.8%	18.2%
Adj. EPS	21.26	49.29	108.25	186.82	236.28						
DPS	7.00	9.99	20.68	46.38	80.05						
Payout ratio	32.9%	20.3%	19.1%	24.8%	33.9%						
Shares outstanding	384	389	393	392	392						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	31,999	60,442	84,458	143,277	205,278	Gross margin	23.5%	25.8%	33.1%	36.1%	37.0%
Accounts receivable	7,767	12,133	15,012	23,351	26,758	EBITDA margin	18.5%	22.1%	29.9%	32.8%	33.9%
Inventories	33,397	49,572	97,632	147,248	167,517	EBIT margin	15.1%	19.7%	27.8%	31.0%	32.2%
Other current assets	2,929	4,029	5,883	9,207	10,568	Net profit margin	11.4%	13.7%	18.9%	20.8%	21.7%
Current assets	76,092	126,176	202,985	323,082	410,121	ROE	27.6%	45.7%	65.6%	68.9%	56.3%
PP&E	13,805	17,849	26,295	29,843	32,189	ROA	9.5%	14.8%	20.8%	23.7%	22.3%
LT investments	1,432	986	871	871	871	ROCE	18.1%	32.4%	50.6%	59.1%	51.8%
Other non current assets	8,576	15,125	17,460	17,749	17,761	SG&A/Sales	2.7%	2.2%	1.9%	1.8%	1.7%
Total assets	99,906	160,137	247,611	371,544	460,941	Net debt/Equity	NM	NM	NM	NM	NM
						Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	13,130	16,311	19,007	19,007	19,007	Sales/Assets (x)	0.8	1.1	1.1	1.1	1.0
Payables	28,884	48,109	73,224	110,436	125,638	Assets/Equity (x)	2.9	3.1	3.1	2.9	2.5
Other short term liabilities	16,275	33,075	56,931	90,649	103,994	Interest cover (x)	NM	NM	NM	NM	NM
Current liabilities	58,288	97,495	149,162	220,092	248,639	Operating leverage	215.9%	163.5%	208.5%	131.7%	120.9%
Long-term debt	3,349	6,949	7,735	7,735	7,735	Tax rate	25.6%	27.2%	27.2%	28.0%	28.0%
Other long term liabilities	4,796	5,128	11,817	9,735	9,322	Revenue y/y Growth	21.2%	94.6%	60.7%	56.9%	21.5%
Total liabilities	66,433	109,572	168,714	237,561	265,696	EBITDA y/y Growth	41.7%	131.8%	118.1%	71.7%	25.6%
Shareholders' equity	33,473	50,565	78,897	133,983	195,245	EPS y/y Growth	49.3%	131.9%	119.6%	72.6%	26.5%
Minority interests	-	-	-	-	-	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	99,906	160,137	247,611	371,544	460,941	P/E (x)	160.0	69.0	31.4	18.2	14.4
BVPS	87.06	129.90	201.01	341.37	497.46	P/BV (x)	39.1	26.2	16.9	10.0	6.8
y/y Growth	25.5%	49.2%	54.7%	69.8%	45.7%	EV/EBITDA (x)	18.0	19.3	14.7	8.1	6.1
						Dividend Yield	0.2%	0.3%	0.6%	1.4%	2.4%
Net debt/(cash)	(15,521)	(37,182)	(57,716)	(116,535)	(178,536)						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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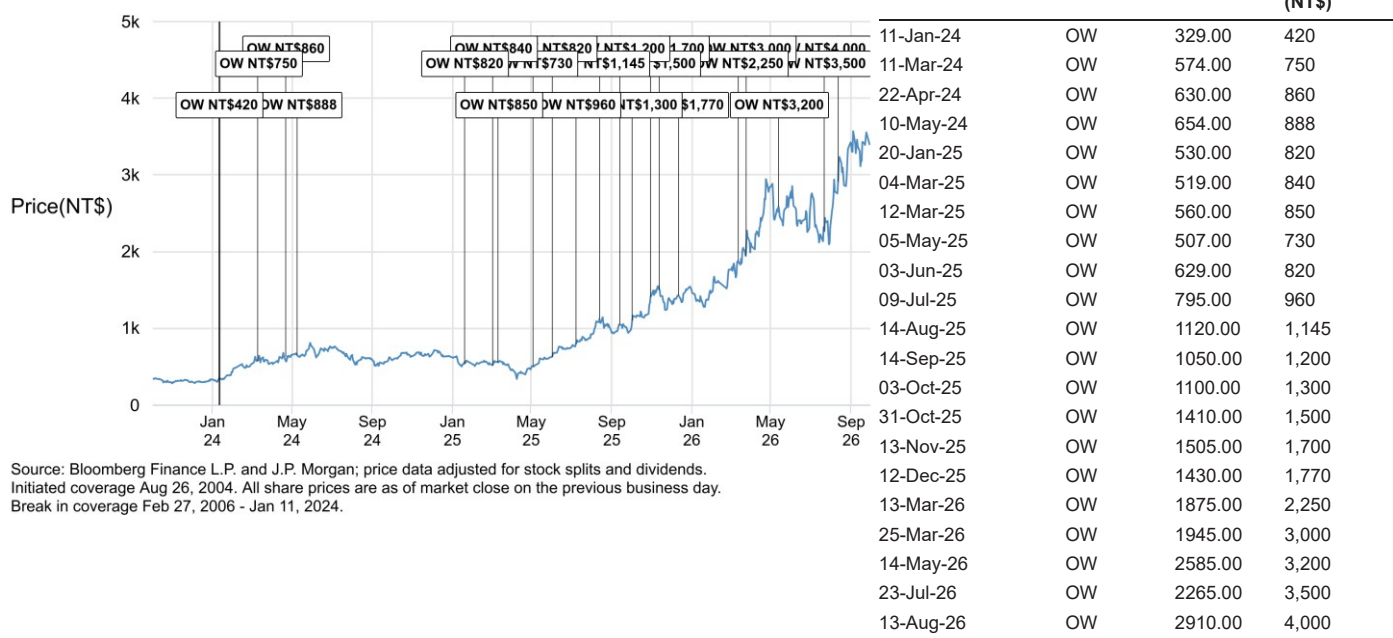
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Asia Vital Components (3017.TW, 3017 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Break in coverage Feb 27, 2006 - Jan 11, 2024.

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